

The skeptic in you remains unconvinced that the risk here is low. You might say that there is still the very real possibility of going broke if you bet all you have (like Papa Patel has done).

Papa Patel does bet it all on one bet, but he has an ace in the hole. If the lender forecloses and he loses the motel, he and his wife can take up jobs bagging groceries, work 60 hours a week instead of 40, and maximize their savings. At the 1973 minimum wage of \$1.60, they earn \$9,600 a year. After taxes, they can easily sock away \$2,000 to \$4,000 a year. After two years, Papa Patel could step up to the plate and buy another motel and make another bet.

The odds of losing this bet twice in a row are 1 in 100. And the odds that it pays off at least once are roughly 99 percent. When it does pay off, it's over a 20-fold return. That's an ultra low-risk bet with ultra-high returns—one very much worth making: Heads, I win; tails, I don't lose much!

With such high cash flow coming in, Papa Patel is soon flush with cash. He still has a very modest lifestyle. His eldest son comes of age in a few years and he hands over the motel to him. The family buys a modest house and goes hunting for the next motel to buy.

This time, they buy a larger motel with 50 rooms. The family no longer lives at the motel, but still does most of the work with little in the way of hired help. The formula is simple: fixate on keeping costs as low as possible, charge lower rates than all competitors, drive up the occupancy, and maximize the free cash flow. Finally, keep handing over motels to up-and-coming Patel relatives to run while adding more and more properties.

There is a snowball effect here and, over time, we end up with these amazing statistics—half of all motels in the United States are under Patel ownership. Having fully cornered the motel market, the Patels have begun buying higher-end hotels and have delved into a number of businesses where they can apply their lowest-cost operator model for unassailable competitive advantage—gas stations, Dunkin' Donuts franchises, convenience stores (7-Elevens), and the like. Some have even branched out into developing high-end time-share condominiums. The snowball continues to roll down this very long hill—becoming bigger over time.